

certificates at 5 and selling 100 shares of free stock against them at 10¼. Temporarily the spread might have widened perhaps, but ultimately the two prices were bound to approach each other. The latter happened very quickly in effect, as a few days later the certificates had advanced to 7 while the stock remained at 10¼. Today the trader could sell his certificates at 10 with a gain of \$1,000, and cover his stock at 13¼—a loss of only \$300—showing an excellent net profit on a very modest commitment.

At the present time, when the outlook is so clouded with uncertainty, the trader might well turn his attention for a while to the unspectacular, but safely profitable, business of hedging.

A very similar opportunity was presented last November, when Interborough-Metropolitan 4½s broke to 13¾, while the preferred stock was selling at 12½. Considering the priority of lien “enjoyed” by the bonds, a spread of only 1¼ points between the two issues was ridiculously small. This has now widened to six points (which is still insufficient), but which nevertheless would allow a handsome profit to the man who bought the bonds and sold the stock at 13¾ and 12½ respectively. At the present time one or two of the Missouri, Kansas & Texas bond issues—the St. Louis Division 4s, for example,—can be bought only a few points above the 4 per cent non-cumulative referred stock: while in view of the large accruals of interest and their prior lien, they should of right be selling at a much wider spread.

DISCREPANCIES ARE COMMON

Discrepancies of this kind occur in almost endless variety and most of them can be availed of to advantage. But in